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NEWSPAPER

10th DEC, 2018

ITEM WISE EDITORIALS

50th WEEK



CHINA-USA ... HUAWEI ISSUE

UPSC CSE – GS II

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NEWSPAPER EDITORIALS

... DISCUSSION

10th DECEMBER, 2018

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Uneasy truce

The U.S. action against a top Huawei executive threatens the tariff thaw with China

The 90-day trade truce between China and the United States reached over the weekend on the sidelines of the G20 meet in Argentina is already proving to be fragile. Chinese telecommunications giant Huawei's chief financial officer Meng Wanzhou was arrested recently by Canadian authorities, acting on an extradition request from the U.S. Ms. Wanzhou is the daughter of the company's founder Ren Zhengfei, a former member of the Chinese military. The arrest happened around the time U.S. President Donald Trump and Chinese President Xi Jinping met in Buenos Aires to defuse trade tensions between their countries, but news of the arrest broke only on Wednesday. Huawei at this moment has been accused of breaching American sanctions against Iran, but U.S. lawmakers have also been concerned about the Chinese government using the company to carry out spying operations on foreign soil. Last year, it is worth noting, Chinese telecom giant ZTE reached a settlement with the U.S. government over charges of exporting banned items to Iran. Markets across the world were negatively affected on Thursday as trade tensions looked to flare up once again between the world's two largest economies.

It is hard to determine whether the present U.S. action against the Huawei official is based on legitimate concerns about national security or if the U.S. has simply attacked China on yet another front in the ongoing trade war. To be sure, other countries, including Australia and the United Kingdom, have also been quite wary about doing business with Huawei due to the alleged gathering of intelligence by the company. In particular, they fear that Huawei's involvement in building their 5G network could lead to problems linked to cyber-espionage. At the same time, radical anti-Chinese politicians in the U.S. have every reason to exaggerate national security concerns simply in order to justify protectionist sanctions against Chinese companies. Huawei has clearly been seen by many as a serious threat to the global domination exerted by American technology companies. Either way, recent actions are bound to have a negative impact on U.S.-China trade ties as the Chinese will not be too happy about the continuing assault on multinational companies which have their roots in China. U.S. concerns about national security are also closely related to accusations against Huawei of violating intellectual property rights with the tacit approval of the Chinese government. The arrest might thus suggest that the U.S. may not go soft on its demand for the protection of intellectual property rights during its talks with the Chinese authorities in the next few months. With the rapid escalation in trade tensions over the year, it will take serious efforts to bring a lasting solution that is acceptable to both American and Chinese politicians.

UPSC CSE – GS II

GS II ... International Relations

Effect of policies and politics of developed and developing countries on India's interests, Indian diaspora.

3 Uneasy truce

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3 Uneasy truce

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WHAT IS THE NEWS?



- Chinese Huawei's Chief Financial Officer, Meng Wanzhou was arrested.
- She was arrested by Canadian authorities acting on extradition request from U.S.
- She is the daughter of the Company's founder.

Huawei is Chinese multinational telecommunications equipment and consumer electronics company.



WHY SHE IS ARRESTED?

- This is because of alleged financial violations.
- Between 2009 and 2014, Huawei used Hong Kong-based company, Skycom Tech to do business with telecom companies in Iran.
- Banks in the U.S. cleared transactions for Huawei doing business with Skycom.
- Huawei used Skycom to do business in Iran.
- It tried to import U.S. made computer equipment there.
- The allegations are, it operated Skycom as an unofficial subsidiary.
- It made efforts to keep the connection secret, it constituted fraud.

- 6
- Japan banned its Govt. staff from using Huawei devices.
 - UK made the firms submit to special security checks.

- 5
- They fear Huawei's involvement in building their 5G network could lead to problems linked to cyber espionage.

- 4
- Australia and UK are also wary about doing business with Huawei due to the alleged gathering of intelligence by the company.



SUSPICION ON CHINA IS GROWING ACROSS THE WORLD!



- 1
- Huawei is accused of breaching American sanctions against Iran.

- 2
- U.S. lawmakers are also concerned about Chinese Govt. using the company to carry out spying operations on foreign soil.

- 3
- Last year, Chinese telecom giant, ZTE reached a settlement with U.S. over charges of exporting banned items to Iran.

However, in India Huawei operates freely generating revenues of \$ 1.2 bn!



MONGOLIA

CHINA

Sea of Japan

North Korea

South Korea

JAPAN

East China Sea

Guangzhou

Shenzhen

Hong Kong

INDIA

NEPAL

MYANMAR
(BURMA)

Lao PDR

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